

have the opposite results and cause managers to eliminate an investment idea on the basis of it being cost prohibitive when in fact its costs may be much lower now given market structure improvements and increased efficiency from competition. It is imperative that any cost index developed for back testing is based on today's market structure, regulations, and competition, and the trading characteristics at the historical point in time (liquidity, volatility, size, etc.). Only then can a manager determine the strategy's true feasibility and the realistic return expectations of the investment idea. We discuss techniques to develop back-testing cost series in Chapter 12, Cost Index and Multi-Asset Trading Costs.

Liquidation Cost. The cost of trading, unfortunately, is not symmetric. The cost to enter (buy) the position is usually less expensive than the cost to exit (sell) the position. This cost, however, is not due to any structural difference between buying and selling stock, but it is rather due to a difference in the underlying investment decision at the time of the stock purchase and stock sale. Managers will buy stocks under the most advantageous market conditions and sell stock under more dire circumstances. For example, managers tend to buy stocks with attractive company fundamentals, low volatility, and at times when there is liquidity. But managers tend to sell stocks when they fall out of favor, when company fundamentals tank, volatility spikes, and liquidity dries up. All of which increase trading cost of favor.

Sensitivity Analysis. Managers are beginning to incorporate their own market views in investment planning phases. Managers are performing sensitivity analysis to better determine trading cost under various scenarios such as increased and decreased volatility scenarios such as were present during the financial crisis of 2008–2009. Portfolio managers who are able to incorporate their views of the market conditions will improve the portfolio construction process, which will result in portfolios that are more consistent with their underlying investment objective.

ARE THE EXISTING MODELS USEFUL ENOUGH FOR PORTFOLIO CONSTRUCTION?

The needs of traders and portfolio managers are very different when it comes to market impact analysis. Traders use market impact models to estimate trading costs, and to evaluate and select trading algorithms. Portfolio managers use market impact models for cost estimates that can be incorporated directly into the stock selection process. Portfolio managers, however, need to be able to run these models independently of brokers and vendors so that these parties will not have any opportunity to reverse engineer the manager's decision making process. Managers also